

M/s S. Milan Agro Industries & 2 Others v. State of Uttar Pradesh & 4 Others

High Court of Judicature at Allahabad · Division Bench · 11 August 2025 · 2025:AHC:135437-DB · Writ - C No. 10064 of 2025 · **Writ disposed of; final assessment dated 28.12.2023 and all proceedings quashed on 50% deposit; fresh objection, hearing and order within eight weeks**

HEADNOTE

Once a speaking final assessment has been passed after a provisional assessment, objections and a hearing, the U.P. Electricity Supply Code, 2005 does not require a further hearing. A post-decisional hearing granted on the consumer's request after that final order puts the entire assessment under a cloud. All proceedings including the 28 December 2023 final assessment are quashed on condition that the consumer deposit 50% of the assessed amount with the Executive Engineer within two weeks; on deposit the consumer may file a fresh objection, shall be heard, and the authorities shall pass a fresh order in accordance with law, the entire process to be concluded within eight weeks. No appeal had been filed and the licensee had not attempted recovery for over nine months after the December 2023 order; that situation should not be repeated. Quantum of the assessment was not decided.

FACTUAL SUMMARY

M/s S. Milan Agro Industries and two others, consumers of Purvanchal Vidyut Vitran Nigam Ltd. at Kaptanganj, Azamgarh, challenged a final assessment dated 28 December 2023. In Writ-C No. 31951 of 2023, by order dated 24 November 2023, the High Court had stayed a Tehsildar recovery citation of 17 June 2023 (Tehsil Burhanpur, District Azamgarh) after they contended that departmental notings were not final assessment orders, and had left the licensee free to start fresh proceedings after a Code-compliant final assessment.

A provisional assessment was then made on 3 December 2023; the petitioners replied and appeared on 9 December 2023; a speaking order followed on 28 December 2023. On their request a further hearing was granted on 6 January 2025. No appeal was filed, and the authorities did not attempt recovery for over nine months.

REUSABLE CONSTRUCTIONS

1. Once a speaking final assessment has been passed after a provisional assessment, objections and a hearing, the Supply Code does not require a further hearing; a post-decisional hearing after that final order puts the entire assessment under a cloud. ¶ 4-7
2. Where a post-decisional hearing has clouded a completed final assessment, the assessment and all proceedings are quashed and a fresh Code process of objection, hearing and a reasoned order is required. ¶ 6-9

HOLDING-UNITS

HOLDING-UNIT · UP-2005::8.1

A post-decisional hearing after a completed final assessment puts the order under a cloud; the assessment is quashed and a fresh Code process directed

QUESTION

Once a speaking final assessment has been passed after a provisional assessment, objections and a hearing under the Electricity Supply Code, 2005, may the licensee grant a further post-decisional hearing, and does that later hearing leave the final assessment intact?

HOLDING

No. After a provisional assessment (3 December 2023), the consumer's reply and appearance (9 December 2023), and a speaking final assessment (28 December 2023), there is no requirement under the law for the authorities to grant another hearing. A further hearing on 6 January 2025, granted on the petitioner's request, put the entire order under a cloud. All proceedings including that final assessment are quashed and set aside on condition that the petitioner deposit 50% of the assessed amount with the Executive Engineer within two weeks. On such deposit the petitioner may file a fresh objection, shall be heard, and the authorities shall pass an appropriate order in accordance with law. The entire

proceedings, including the fresh final assessment, are to be concluded within eight weeks. No appeal having been filed and no recovery attempted for over nine months after the December 2023 order, that situation should not be repeated.

¶ 4-10

QUALIFIER

Conditioned on 50% deposit within two weeks; entire proceedings including a fresh final assessment to be concluded within eight weeks from 11.8.2025.

FLAG Source PDF also contains listing orders of 24.7.2025 and 7.8.2025; the operative disposal is 11.8.2025. The Court did not cite a clause number. The 24.11.2023 order in Writ-C No. 31951 of 2023 referred to a final assessment 'as stipulated in the Electricity Supply Code, 2005.' Keyed to Clause 8.1 (provisional bill, objections, hearing, then final assessment) as the theft-assessment procedure that this pattern matches; it could equally be Clause 6.8 if the demand was for unauthorised use rather than theft — the order does not say.

PRINCIPLE TAGS

opportunity-before-final-assessment The Code sequence is provisional assessment, objections and hearing, then a completed final assessment. A further hearing granted after that final order is not a Code step and puts the entire assessment under a cloud. Same cluster as SCJ-014, SCJ-022, SCJ-028, SCJ-032, SCJ-117, SCJ-280. ¶ 4-7

set-aside-assessment-is-non-est-fresh-reasoned-order-required The 28.12.2023 final assessment and all proceedings against the consumer are quashed. On 50% deposit the consumer may file a fresh objection, must be heard, and a fresh order is to be passed in accordance with law within eight weeks. Same cluster as SCJ-154. ¶ 6-9

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — CORRECTNESS / QUANTUM OF THE 28.12.2023 ASSESSMENT

Left to the fresh order after a new objection and hearing. The 50% deposit is a condition of that remand, not a determination of dues. ¶ 5-7

NOT DECIDED — WHETHER THE PETITIONER WAS COMPLICIT IN OBTAINING THE 6.1.2025 POST-DECISIONAL HEARING

The Court expressly declined to go into the petitioner's complicity at this stage. ¶ 4

NOT DECIDED — WHETHER THE DEMAND WAS A THEFT ASSESSMENT (CLAUSE 8.1) OR UNAUTHORISED USE (CLAUSE 6.8)

The order speaks only of a provisional and final assessment under the Code; it does not characterise the demand. ¶ 1-2